funds to return you close to 15 to 20% CAGR returns (and these are tax free!)

- While investing in mutual funds, you may want to start investing in funds with either a great track record or with funds in upcoming industries. I initially invested in Pharma based mutual funds as I realized the upside potential in this industry.
- After 12 months of investing in a specific mutual fund and tracking the ups and downs, you may want to buy more of the same or different funds from the same company. Normally, companies like Reliance and UTI will provide you with an online user id and password to their MF portal and then you can buy or sell any kind of funds from their sites.
- Your mutual fund account or portfolio number is linked to your bank account. Please make sure that you keep the linked bank account active.
- When you are investing for the first time, it is advisable to try and sell a few units just to see how money comes back to your linked accounts.
- Many times, mutual funds will provide you with a debit card and make you feel that your mutual fund account has the flexibility of a normal savings account. I recommend never keeping that debit card in your wallet. You can store it in a safe place in your home, in case you need it in an emergency.
- Mutual funds charge a significant entry fee with every investment that you make, so make sure that you do not use the mutual fund account as a savings account. You will never realize that you have paid a lot of money carrying out these transactions.
- Personally, I have continued my SIP investments in mutual funds till date and I also buy over and above these SIP instalments on and off whenever I see an opportunity.
- Within 24 months and with the right education and sharpening of your financial saw, you should be able to select the right funds and also keep monitoring the returns from your funds every 3–6 months.
- While monitoring your funds, you may want to keep an eye on the following to check if you want to continue to invest in the same fund: